sharpest. Ratan was, however, determined to reinvigorate the company. He even looked at a collaborative venture with Mercedes-Benz, where the German car manufacturer would own the majority stake. He personally negotiated the agreement. It included the possibility of TELCO manufacturing a Mercedes-Benz 'E' Class passenger car for the foreign and domestic market. The agreement was concluded in April 1994. The plant was located near TELCO's existing facility in Pune with Mercedes-Benz owning 51 per cent of the stake and TELCO holding the remaining.

Some years later, however, the two parted ways. Collaborations did not often work well for TELCO. They fell short of fulfilling Ratan's condition for a successful tie-up—being at least an equal and active partner. He said: 'We won't be passive investors; we [will] always go for an equal partnership.' In an interview to *TIME* magazine, he said that if TELCO only ended up producing cars that a collaborator desired: '… it would virtually amount to giving up management control of company'.

Customer satisfaction, a component of his restructuring programme, was an area that Ratan accorded more importance in Tata Motors. The company began designing and manufacturing vehicles to meet customer preferences. The best example of this was the launch of Tata Sumo, a 'diesel engine jeep targeted at the semi-urban and rural multi-utility vehicle market'. It was an unprecedented success. The ten-seater utility vehicle got a record 90,000 bookings the year it was launched.

As a part of the strategy to grow its overseas presence, the company shipped its locally designed series, Tata Sierra and Tata Estate, to France, Egypt and Algeria. An excited Ratan called these the '"bridges" between commercial vehicles and passenger cars', terming them as 'one of the agents of change within the Company'.

Simultaneously, Ratan undertook a major organizational restructuring of the company. What used to be a monolith organization was divided into two separate operational units along existing lines of business—the Automobile Business Unit (ABU) and the Construction Equipment Business Unit (CEBU) supported by a central Corporate Office. Both the new units came to have their separate profit-and-loss balance responsibilities, says Rajiv Dube.

Ratan riveted his attention to changing the working ethos of the Commercial Vehicles Business Unit (CVBU) that was created in March 2000, separating the commercial vehicle and passenger cars business units.